

community was that, while the Lederle division represented one of the world's most outstanding pharmaceutical organizations, the relatively larger industrial and agricultural chemical activities constituted a hodge-podge of expensive and inefficient plants flung together in the typical 'stock market' merger period of the booming 1920's. These properties were generally considered anything but a desirable investment.

“Largely unnoticed was the fact that a new management was steadily but without fanfare cutting production costs, eliminating dead wood, and streamlining the organization. What was noticed was that this company was 'making a huge bet'—making a major capital expenditure, for a company its size, in a giant new organic chemical plant at Fortier, Louisiana. So much complex engineering was designed into this plant that it should have surprised no one when the plant lagged many months behind schedule in reaching the break-even point. As the problems at Fortier continued, however, the situation added to the generally unfavorable light in which American Cyanamid shares were then being regarded. At this stage, in the belief a buying point was at hand, the funds to which I have already referred acquired their holdings at an average price of  $45\frac{3}{4}$ . This would be  $22\frac{7}{8}$  on the present shares as a result of a 2-for-1 stock split which occurred in 1957.

“What has happened since? Sufficient time has elapsed for the company to begin getting the benefits of some of the management activities that were creating abnormal costs in 1954. Fortier is now profitable. Earnings have increased from \$1.48 per (present) common share in 1954 to \$2.10 per share in 1956 and promise to be slightly higher in 1957, a year in which most chemical (though not pharmaceutical) profits have run behind those of the year before. At least as important, 'Wall Street' has come to realize that American Cyanamid's industrial and agricultural chemical activities are worthy of institutional investment. As a result, the price-earnings ratio of these shares has changed noticeably. A 37 per cent increase in earnings that has taken place in somewhat under three years has produced a gain in market value of approximately 85 per cent.”

Since writing these words, the financial community's steady upgrading of the status of American Cyanamid appears to have continued. With earnings